

# Form 1040

U.S. Individual Income Tax Return | Department of the Treasury — IRS

Thomas Sharp | SSN: 523-03-5397 | Tax Year: 2020

Filing Status: **Single**

Address: 3867 JOSHUA CLUB, PLANO, TX 75024

**Dependents:**

- Danny Sharp (SSN: 779-20-3969) — Son
- Daniel Sharp (SSN: 719-11-2407) — Daughter

| Line | Description                         | Amount    |
|------|-------------------------------------|-----------|
| 1    | Wages, salaries, tips (W-2)         | \$156,100 |
| 2b   | Taxable interest                    | \$1,690   |
| 3b   | Ordinary dividends                  | \$522     |
| 8    | Business income (Schedule C)        | \$76,273  |
| 9    | Total income                        | \$234,586 |
| 10   | Adjustments (½ SE tax deduction)    | \$1,021   |
| 11   | Adjusted Gross Income (AGI)         | \$233,564 |
| 12   | Standard deduction                  | \$12,400  |
| 13   | Qualified business income deduction | \$15,255  |
| 14   | Total deductions                    | \$27,655  |
| 15   | Taxable income                      | \$205,909 |

| Line | Description                       | Amount   |
|------|-----------------------------------|----------|
| 16   | Tax (from tax table / brackets)   | \$46,906 |
| 19   | Child tax credit                  | \$2,350  |
| 21   | Total credits                     | \$2,350  |
| 22   | Tax after credits                 | \$44,556 |
| 23   | Self-employment tax (Schedule SE) | \$2,042  |
| 24   | Total tax                         | \$46,838 |
| 25   | Federal income tax withheld (W-2) | \$24,976 |
| 33   | Total payments                    | \$24,976 |
| 37   | Amount you owe                    | \$21,862 |

# Schedule B — Interest and Ordinary Dividends

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## Part I — Interest

| # | Payer Name            | Amount  |
|---|-----------------------|---------|
| 1 | First National Bank   | \$655   |
| 2 | Heritage Savings Bank | \$1,034 |
|   | Total Interest        | \$1,690 |

## Part II — Ordinary Dividends

| # | Payer Name         | Amount |
|---|--------------------|--------|
| 1 | E*TRADE Securities | \$522  |
|   | Total Dividends    | \$522  |

# Schedule C — Profit or Loss from Business

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|                    |                                       |
|--------------------|---------------------------------------|
| Business Name      | Home Repair & Maintenance             |
| Principal Business | Residential Remodeling (Code: 236118) |
| Accounting Method  | Cash                                  |

| Line | Description              | Amount    |
|------|--------------------------|-----------|
| 1    | Gross receipts           | \$114,900 |
| 7    | Gross income             | \$114,900 |
| 8    | Advertising              | \$3,777   |
| 9    | Car and truck expenses   | \$2,451   |
| 15   | Insurance                | \$2,311   |
| 18   | Office expense           | \$1,665   |
| 22   | Supplies                 | \$3,772   |
| 25   | Utilities                | \$740     |
| 27a  | Other expenses           | \$19,211  |
| 13   | Depreciation (Form 4562) | \$4,700   |
| 28   | Total expenses           | \$38,627  |
| 31   | Net profit (or loss)     | \$76,273  |

# Schedule SE — Self-Employment Tax

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| Line | Description                     | Amount   |
|------|---------------------------------|----------|
| 2    | Net profit from Schedule C      | \$76,273 |
| 3    | Combined SE income              | \$76,273 |
| 4a   | 92.35% of line 3 (SE tax base)  | \$70,438 |
| 12   | Self-employment tax             | \$2,042  |
| 13   | Deductible part of SE tax (50%) | \$1,021  |